

N-able SaaS GTM Capacity

N-able, Inc. (NASDAQ: NABL), built August 2026

N-able sells IT-management software by subscription. At the end of 2025, N-able had \$539.7M of ARR. That is annual recurring revenue, the subscription money that repeats every year. For 2026, management promised investors \$581M–\$586M. That is roughly \$44M of net growth.

To test whether that target was realistic, I asked two questions. Where did the growth need to come from? And did the sales team have enough capacity to deliver it? The model answers those questions in four steps.

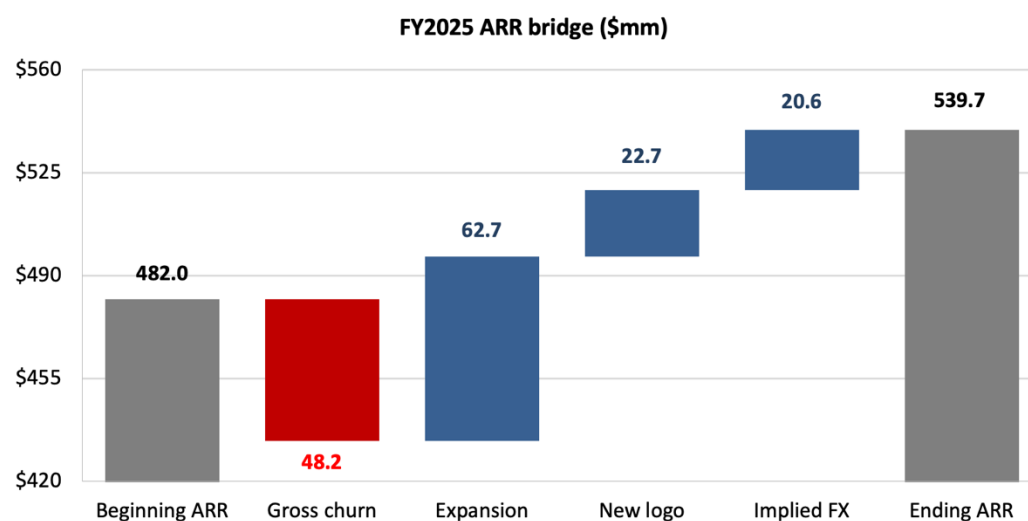
How the model flows



Every number in the model is one of three things: reported by the company, derived from reported numbers by simple arithmetic, or a clearly labeled estimate that anyone can change to see the answer move.

Step 1. Split the growth into its parts

N-able never says how much growth came from new customers versus existing ones. But it does publish three numbers: total ARR, growth excluding currency swings, and how much existing customers grew on net. Add one assumption, that about 90% of revenue survives each year, and you can solve for every missing piece, like solving for x in algebra. The pieces add back to the reported \$539.7M exactly. One piece is worth calling out: \$20.6M of the reported growth came from exchange rates, not from selling anything.

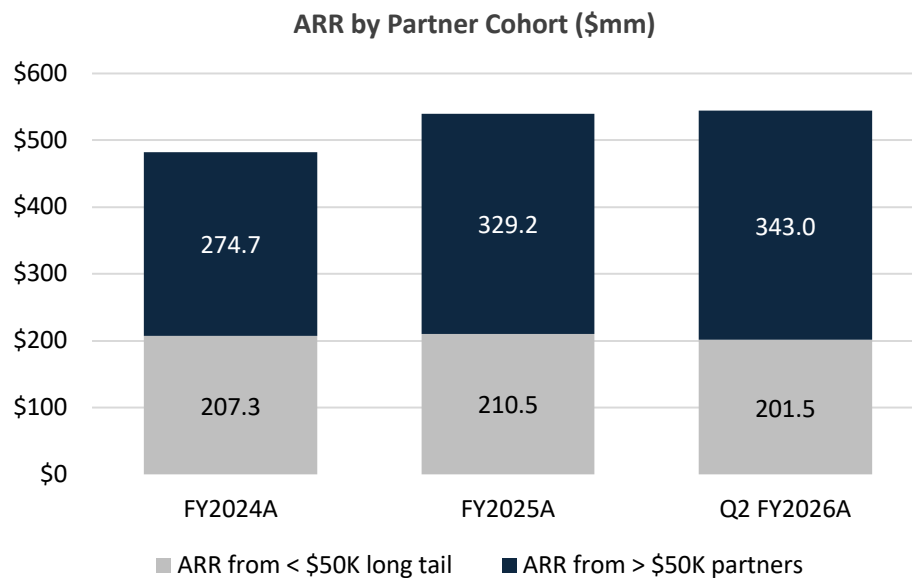


The 2025 ARR bridge, in \$ millions. Red is revenue lost from churn and downgrades; blue is new revenue

73% of new sales came from customers N-able already had. Only 27% came from new ones. It looked like a growth year. It was mostly a retention year. And to reach the 2026 target with existing customers growing at the same rate, sales to new customers had to grow 22%.

Step 2. See who actually drove it

N-able reports two small facts each period: how many customers pay more than \$50K a year, and what share of revenue those customers hold. Apply that share to total ARR across three periods and the picture gets very clear.



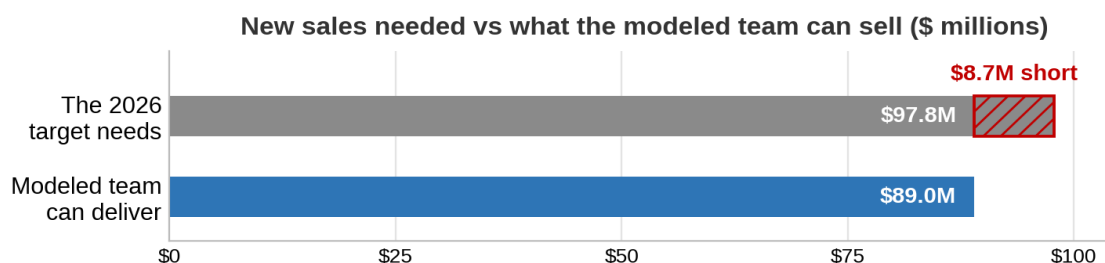
Total ARR in \$ millions, split by customer size. The percentage is the large-customer share

Large customers produced 94% of 2025's growth. The smaller half grew \$3.2M in all of 2025, then lost \$9.0M in the first half of 2026, while the large accounts kept growing at 20%. The plan was leaning on a narrowing base.

Step 3. Test the sales capacity

N-able does not disclose its sales headcount. So I worked backwards from what it does disclose: sales & marketing spend. Take the share of that spend that pays quota-carrying salespeople, divide by the cost of one rep, and you get roughly 278 reps, each producing about \$307K of new sales a year.

Then I built a month-by-month hiring plan with realistic ramp time: a new rep sells nothing for three months and runs at half speed for three more. N-able never published a hiring plan, so this one is mine. That plan produces this:

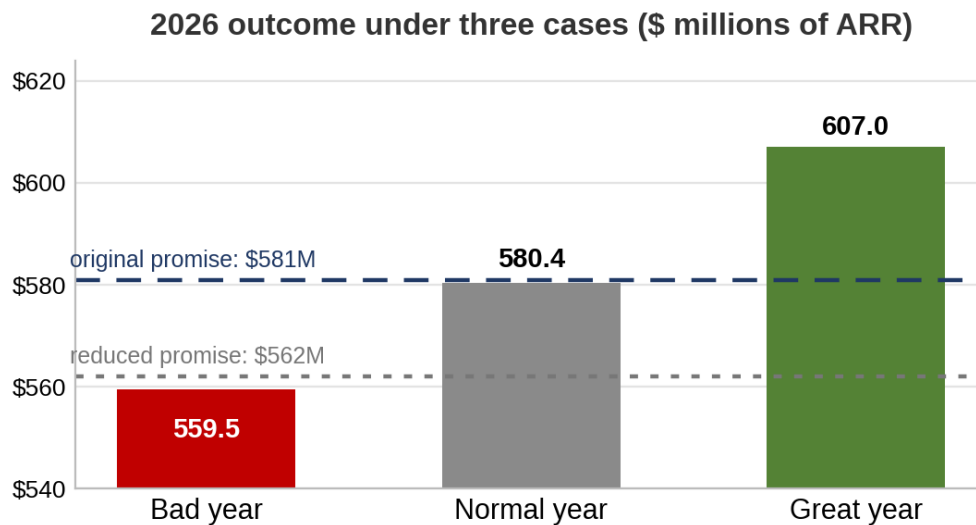


\$8.7M short, about 9% of the plan was not staffed

Because new hires take six months to ramp, hiring during the year cannot close a gap this size. The team needed about 28 more trained reps on January 1st, or each rep had to sell 10% more. Neither fix is free: staffing the plan lifts sales and marketing spend from 31.9% of revenue to 32.6%, while guidance promised the margin would improve.

Step 4. Stress-test the answer

Finally, run the same model three times, a bad year, a normal year and a great year, then compare each result to what management promised.



2026 ending ARR in \$ millions under three cases, against the two guidance floors

The normal case lands \$0.6M below the promise. Only the optimistic case clears it. And the lever that decides everything is retention, keeping customers, not winning new ones.

What actually happened

In August 2026, N-able cut its forecast to \$562M–\$565M and reduced its workforce by 6%, citing weaker renewals. Everything the company cited was already visible in the February disclosures, and feeding the renewal outcome management reported into the model's bad-year case lands within \$2.5M of the revised floor.

What I took away from this

- One blended growth number hides the story. Split it into new, existing, lost and currency before you plan on it.
- Retention was the whole game. When renewals slipped, no amount of new-customer effort could cover the miss. The sensitivity grid showed that before it happened.
- Capacity is calendar math. Ramp time means a mid-year gap needs a last-year fix. Plans should be staffed before they are promised.
- Estimates should be arguable. Every assumption sits in one labeled cell. Disagree with it, change it, and watch the whole answer move.